

Session 10: Positioning - Owning Your Mental Niche

Key Points...

1. Positioning – What it is, and what it isn't:
 - Positioning is a game that you play in the mind - not a game you play in reality.
 - You don't "Position" your product by comparing it to other products.
 - You Position your product by creating A new MENTAL CATEGORY that it can be first in.
2. Human minds use categories as "Shortcut Decision Makers."
 - The world is complex and full of product options.
 - Most of the product options are not perceived to be significantly different from other available options.
 - When two options are roughly the same, we consider them to be roughly the "same" option and we "throw one away" to conserve mental space.
3. It's no use competing - if you do, you've already lost.
 - Competing is a rough game in Marketing, and it's one that is usually LOST when competing with an established competitor.
 - The reason is that the competitor has already gotten into the mind of your Customer.
 - It's much better to create a new category - that you can be first in - and let others compete.
4. How to create a mental category:
 - Start with an aspect of your customer's need that's critically important to them.
 - Speed, convenience, specific results, a guarantee - whatever is the key element to your customer.
 - Base your new mental category on a key need that is currently unmet - that your product meets.
5. How to "niche" your category:
 - Drill down into a need, to find the "high emotion value" 20% that is going unmet.
 - Discover the words, phrases, and specific "emotional hot buttons" that customers use to describe it.
 - Research to find out the "niche within the niche" that you can own in the mind.
6. Categories diverge just like species diverge.
 - Every business category eventually becomes two categories - or more.
 - Computers became laptops and desktops, cars became compact cars, midsize cars and luxury cars.
 - Anticipate this process, and split the category yourself... to create a category that you can own.
 - Big companies lose because instead of creating a new niche and a new business, they try to take the old stuff they used to do and re-label it. Think IBM, Microsoft, Google and Facebook.

7. Name your new category.
 - To get into the mind first, name your new category - so that Customers will see you as the INVENTOR of it.
 - Win by creating and promoting the category itself, not just your particular business or product.
8. Who was the first?
 - Who was the first search engine?
 - Who was the first energy drink?
 - Who was the first portable MP3 player?
 - Most people will say Google and Red Bull and iPod - because they were first in the MIND.
 - It's better to be first, then it is to be better.
9. Examples of categories:
 - Health Foods: Whole Foods Market
 - Online Auctions: eBay.
 - Luxury New York Condos: TRUMP.
 - Social Networking: Facebook.
 - Online Video: YouTube.
10. Examples that I've created:
 - My first online product was a book of dating advice for men - which I grew into the #1 online dating advice company.
 - My first business training was for businesses that wanted to grow to \$10 Million per year in revenue - and I quickly dominated that category as well.
 - What's the unmet need that you can own in the mind?